

ALABAMA DEPARTMENT OF REVENUE
ADMINISTRATIVE CODE

CHAPTER 810-3-168
NET OPERATING LOSS DEDUCTION NOT APPLICABLE TO AN ALABAMA S
CORPORATION

810-3-168-.01 Net Operating Loss Deduction For S Corporations.

(1) No net operating loss carryback or carryforward deduction is allowable for an Alabama S corporation. See Rule 810-3-161-.01 and 810-3-35.1-.01.

(2) No carryforward and no carryback shall arise at the corporate level for a taxable year for which a corporation is an Alabama S corporation.

(3) The taxable year that a corporation is an Alabama S corporation may be considered in determining the number of taxable years which a net operating loss item can be carried back or carried forward.

(4) See also Rule 810-3-174-.02, Built-in Gains Tax.

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Statutory Authority: Code of Ala. 1975, §§40-2A-7(a)(5), 40-18-168.

History: Adopted November 13, 1985. **Amended:** Filed March 31, 2000, effective May 5, 2000.